IOWN

The Morning Brief

MARCH 31, 2026

Dual Track

Trump threatens Kharg Island seizure while claiming Iran has agreed to most US demands — the hope trade opens and closes within a single session.

S&P 500	BRENT CRUDE	BITCOIN	GERMAN CPI (MAR)	FEAR & GREED
6,344 ↓0.39%	$113 · WTI above $100	~$67,900 ↑2.1%	2.7% ↑ from 1.9% Feb	Extreme Fear

SECTION 01

Markets

HOPE TRADE OPENS AND CLOSES IN A SINGLE SESSION

Monday confirmed the pattern the prior brief identified. S&P futures opened up 0.76% on Pakistan talk optimism, but the index closed at 6,344—down 0.39% and essentially unchanged from Friday's level. The Dow eked out a 0.11% gain to 45,216, supported by energy and defense names, while the Nasdaq shed 0.73% as semiconductor and growth selling continued. Less than 20% of S&P 500 constituents now trade above their 50-day moving averages, down from over 70% in January. The breadth deterioration is severe. With Q1 ending today, the S&P 500 is down approximately 7% year-to-date—on pace for the weakest first quarter since 2022. DVY continues to outperform IUSG through the drawdown, reinforcing the dividend sleeve's structural role in the portfolio. The market is no longer trading diplomatic headlines—it is pricing in the possibility that this conflict does not resolve quickly.

WTI SETTLES ABOVE $100 FOR THE FIRST TIME SINCE JULY 2022

WTI closed at $102.88 on Monday—its first settlement above triple digits since July 2022. Brent finished at $112.78 and is trading near $113 in early Tuesday trading. March is now the strongest month on record for both benchmarks: Brent gained approximately 55% and WTI approximately 53%, surpassing the Gulf War record set in 1990 per CNBC. The energy sleeve remains the portfolio's primary source of positive returns. VLO, CVX, OKE, and CNX have been among the only consistently green names across the entire conflict. However, Trump's contradictory signals—threatening to seize Kharg Island while claiming deal progress—create binary risk for energy positioning. If a credible framework emerges, the war premium could compress rapidly. If April 6 passes without progress, oil

could return to the elevated levels seen during the month's most volatile sessions.

CONSUMER CONFIDENCE AND JOLTS TODAY — THE STAGFLATION DATA ARRIVES

At 10 AM ET, the Conference Board releases March Consumer Confidence alongside JOLTS job openings. February's CCI stood at 91.2, with the Expectations Index at 72.0—below the 80 threshold that historically signals recession for over 13 consecutive months, the longest such stretch since the 2008 financial crisis. Given UMich's collapse to 53.3 and the oil shock now feeding through to gas prices and consumer psychology, a material decline is widely anticipated. JOLTS will provide a read on whether employers are pulling back alongside crumbling confidence. February payrolls contracted by 92,000; if today's data confirms further deterioration, the stagflation framework that Goldman Sachs and J.P. Morgan have debated in recent weeks moves closer to consensus. For the Fed, the data feeds directly into the June decision: CME FedWatch shows an 89% probability rates remain unchanged.

GERMAN INFLATION SURGES — THE WAR'S PRICE SHOCK REACHES EUROPE

Preliminary German CPI for March came in at 2.7%, up sharply from 1.9% in February, driven almost entirely by the energy price shock from the Hormuz closure. This is the first clear European inflation data confirming the conflict's transmission to consumer prices in allied economies. The ECB's rate path, previously expected to include further easing, is now uncertain. The Nikkei fell 1.58% overnight on Tuesday to 51,064, extending Monday's 2.79% decline, while the BOJ signaled that tightening may need to accelerate as oil-driven inflation risks mount. European equities are trading marginally higher, with the STOXX 600 up 0.2% in early Tuesday trading. For IOWN, the global inflation impulse reinforces the case for dividend names with pricing power—CHD (+1.58% Friday), CL (+0.18%), and ADP—while growth names face compressing multiples from higher real discount rates globally.

S&P 500	**6,344 Mon · ↓0.39% · Near correction · <20% above 50-day MA**
WTI CRUDE	**$102.88 · First close above $100 since Jul '22**
BRENT CRUDE	**$112.78 · ↑~55% in March (record)**
GOLD	**~$4,575 Tue AM · Recovering from March decline**
GERMAN CPI	**2.7% Mar · Up from 1.9% Feb · Energy-driven**
FED (CME FEDWATCH)	**89% odds unchanged in June · 39% odds of zero cuts in 2026**

The hope trade opened Monday morning and closed Monday afternoon—exactly as the prior brief warned. The pattern is now well-established: diplomatic signals generate overnight futures moves that reverse during the session. The portfolio does not trade the pattern. It is positioned through the outcome.

Research Reveals Opportunities.

Geopolitics

TRUMP'S DUAL TRACK — KHARG ISLAND THREATS MEET 15-POINT CLAIMS

Monday's most consequential development was the simultaneous escalation and de-escalation of rhetoric from Washington. On Truth Social, Trump threatened to "completely obliterate" Iran's electric plants, oil wells, and Kharg Island if the Strait of Hormuz is not immediately reopened. In a Financial Times interview, he said his "preference would be to take the oil," comparing the operation to US action in Venezuela. Kharg Island handles 90% of Iran's crude exports—approximately 1.5 million barrels per day. The Pentagon is reportedly preparing for limited ground operations, potentially including raids on Kharg and coastal sites near Hormuz, according to the Washington Post. Yet in the same news cycle, Trump claimed Iran has agreed to "most of" a 15-point US demand list conveyed through Pakistan. Iran's Foreign Minister Araghchi dismissed the proposals as "unrealistic." The gap between these two signals—military seizure threats and claimed diplomatic breakthroughs—is the source of the binary risk that defines every session this week.

IRAN STRIKES KUWAIT DESALINATION PLANT — THE WAR REACHES WATER

In a significant escalation beyond energy infrastructure, an Iranian attack struck a power and water desalination plant in Kuwait on Sunday evening, killing one worker and damaging the Sabiya facility, according to Al Jazeera. Kuwait relies on desalination for 90% of its drinking water, and the Gulf region produces 40% of the world's desalinated water supply. Kuwait's defense ministry reported 14 missiles and 12 drones detected in Kuwaiti airspace the same day, with several targeting a military camp and injuring 10 servicemen. The IRGC Navy commander responsible for Strait of Hormuz operations, Ali Reza Tangsiri, was confirmed dead by Iranian state media—a development that could affect Iran's naval posture in the strait. Kuwait Petroleum Corporation's CEO stated that Iran is effectively holding the world economy hostage. The war's expansion from oil infrastructure to water and power in Gulf states introduces risks that extend well beyond energy markets.

SPAIN CLOSES AIRSPACE — NATO'S FRACTURE LINE WIDENS

Spain announced Monday that it has closed its airspace to all US military aircraft involved in the Iran war, extending an earlier restriction that barred the use of the Rota and Morón bases, according to Bloomberg. Defence Minister Robles confirmed the closure was communicated to US forces from the outset. Prime Minister Sánchez has described the war as illegal and reckless. Trump responded by calling Spain "terrible" and threatening trade cuts. Spain is the most vocal NATO dissenter, but the fracture line may widen: European parliaments face growing domestic pressure as the conflict's economic costs mount. German inflation at 2.7% provides a tangible cost measure for voters. Meanwhile, Pakistan's Foreign Minister Dar is heading to Beijing at China's invitation, per Bloomberg, suggesting the diplomatic track is expanding beyond the four-nation framework. Whether Beijing's involvement accelerates or complicates negotiations remains to be seen. The April 6 deadline is six days away.

TRUMP	**Threatens Kharg seizure + “obliterate” oil/power · Claims 15-point progress**
KUWAIT	**Desalination plant struck · 1 killed · 14 missiles + 12 drones detected**
IRGC NAVY	**Commander Tangsiri confirmed dead · Hormuz ops implications**
SPAIN	**Airspace closed to US military · Bases already restricted**
PAKISTAN FM	**Heading to Beijing · China entering diplomatic track**
APRIL 6 DEADLINE	**6 days · Energy strikes resume if no deal**

SECTION 03

On Our Radar

1. Consumer Confidence and JOLTS at 10 AM ET today. February CCI was 91.2 with an Expectations Index at 72.0—below the recession-signaling 80 threshold for over 13 consecutive months, the longest such stretch since 2008. UMich's March collapse to 53.3 suggests the Conference Board reading could decline materially. JOLTS will show whether labor demand is contracting alongside sentiment. Both readings feed directly into the Fed's June decision framework and the stagflation narrative that now dominates the macro debate. Research Reveals Opportunities.

2. Q1 ends today — the S&P 500's worst first quarter since 2022. The index is down approximately 7% year-to-date. Less than 20% of constituents trade above their 50-day moving averages, down from over 70% in January. The breadth deterioration is the most severe since the 2022 rate shock. DVY has dramatically outperformed IUSG through the quarter, validating the dividend sleeve's structural construction. The portfolio entered this drawdown with the right allocation; the discipline now is holding it through the volatility. Think Like an Owner.

3. German CPI at 2.7% confirms the war's inflation shock is transmitting to allied economies. The 80-basis-point jump from February's 1.9% is almost entirely attributable to energy costs. The ECB's rate path is now uncertain. The BOJ signaled tightening may need to accelerate. For the Fed, this adds a global dimension: if allied central banks hold or raise rates while the Fed stays put, dollar dynamics and capital flows could shift meaningfully for multinational holdings like QCOM, NXPI, and TSM. **The physical world matters.**

4. The April 6 deadline is six days away. Trump's escalating rhetoric—Kharg Island seizure, the threat to obliterate energy infrastructure—could represent leverage ahead of the deadline rather than intent. But the distinction between leverage and action is the difference between a relief rally and another leg lower. Good Friday closes markets on April 3; nonfarm payrolls release that morning with the reaction deferred to Monday. Two catalysts converge on the April 6 open. Avoid Erosion.

5. Bitcoin recovers to ~$67,900 as crypto sentiment stabilizes at extreme fear. BTC gained approximately 2.1% on Monday, its best session in over a week, even as equities sold off intraday. The crypto Fear and Greed Index ticked up to 11 from prior readings near 8. Morgan Stanley's MSBT launch remains imminent. The digital sleeve's decoupling from equity weakness on Monday, if it holds, could signal that the forced-selling phase has exhausted and institutional flows are providing a floor. Simplicity Over Complexity.

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